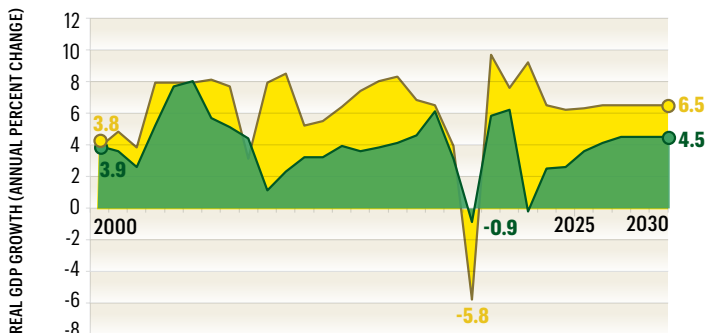


REAL GDP GROWTH

• India grew over 6% on an average in 10 years till 2024 while Pakistan grew at 3.51%



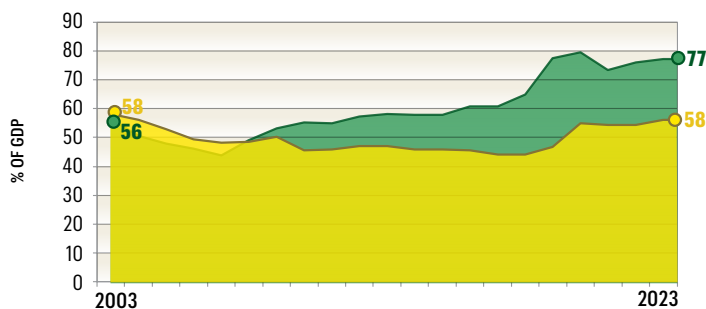
— INDIA — PAKISTAN

NOTE IN %; FIGURES AFTER 2025 ARE PROJECTIONS

SOURCE IMF

FEDERAL GOVERNMENT DEBT

• Pakistan's central government debt rose sharply after 2008

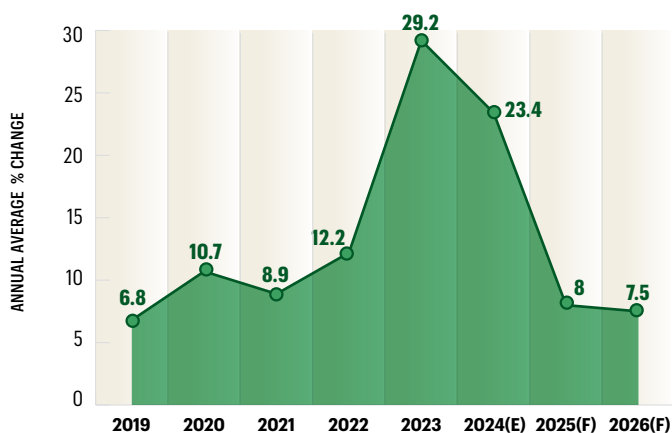


— INDIA — PAKISTAN

SOURCE IMF

INFLATION TRAJECTORY

• Pakistan's inflation rate touched a record 40% in April 2023



SOURCE MOODY'S RATINGS; NOTE: E ESTIMATED, F IS FORECAST

during the year of the Kargil war did the economy saw an increase in GDP growth (8.9%) as compared to 6.2% in 1998, the report noted.

A closer look at the two economies shows that India is significantly ahead of Pakistan on almost all major indicators. According to the IMF, India's GDP of \$3.9 trillion in 2024 is over 10 times that of Pakistan's, which was at \$373 billion in 2024. Similarly, the combined market capitalisation of the top 10 Indian firms is three times that of Pakistan's GDP. Pakistan's private sector is widely viewed as being significantly "constrained." The World Bank's Country Partnership Framework for FY26 to FY35 highlights that this is "due to a cumbersome regulatory environment, large state- and state-owned firms, limited financial markets depth, distortions in pricing and tax incentives, high government borrowing that crowds out private credit, and an anti-export bias in trade policies." The recent escalation is expected to increase military spending by both countries. For India—currently the fastest-growing major economy in the world with GDP growth projected at 6.5% this fiscal, adequate forex reserves of \$686 billion as of May 2, and robust investor interest—the impact of this conflict may be limited.

While there's no exact estimate on the cost of war, defence expenditure continues to be huge for both India and Pakistan, although the latter can hardly afford it. As per the Stockholm International Peace Research Institute, India's military expenditure, the fifth largest globally, grew by 1.6% to \$86.1 billion in 2024. Meanwhile, Pakistan spent \$10.2 billion, significantly lower than India's spend.

On the face of it, the amount appears less but given the state of Pakistan's resources, it's a significant part of its annual spending. Pakistan's total expenditure was Pakistani Rs 17.2 lakh crore for FY25, of which 42% or Pakistani Rs 2.12 lakh crore is earmarked for defence and military expenditure and Pakistani Rs 9.7 lakh crore for servicing debt payments. That would leave Pakistani Rs 28.17 billion for health, Pakistani Rs 103.7 billion for education, and Pakistani Rs 608 billion for social protection.